23SMCV04856 23SMCV04856

County: los-angeles

Division: Civil Law and Motion

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Case Number: 23SMCV04856 Hearing Date: September 2, 2026 Dept: 207

TENTATIVE

RULING - NO. 1

DEPARTMENT

207

HEARING DATE

September

2, 2026

CASE NUMBER

23SMCV04856

MOTIONS

Motions

for Attorney Fees

MOVING PARTIES

(1)

Defendant Ara Petrosyan

(2)

Plaintiffs Daniel Eisenberg and Martha Bailey

OPPOSING PARTIES

(1)
Plaintiffs Daniel Eisenberg and Martha Bailey

(2)
Defendant LA Solar

MOTIONS

This case arises from allegations that the installation of solar panels caused roof leaks.

Plaintiffs Daniel Eisenbeg and Martha Bailey ("Plaintiffs") originally filed suit on October 16, 2025. The operative Second Amended Complaint ("SAC") alleges five causes of action for (1) breach of express warranty; (2) negligence; (3) breach of contract; (4) fraud; and (5) breach of contract against surety against Defendants LA Solar Group, Inc., dba AP Electrical System ("LA Solar"); Ara Petrosyan ("Petrosyan"); and Merchants Bonding Company (Mutual) ("Merchants"). The first four causes of action are brought against all Defendants except Merchants, and the fifth cause of action is brought only against Merchants.

On June 6, 2024, Merchants filed a verified cross-complaint against Plaintiffs, Defendants, and John Fontanini ("Fontanini"), for declaratory relief and interpleader for the $25,000 contractor's bond for LA Solar. On January 7, 2025, Merchants requested dismissal of John Fontanini without prejudice, which was entered on January 8, 2025.

On May 28, 2025 the Court granted Merchants' unopposed motion to discharge it as a stakeholder, and on June 5, 2025, Merchants dismissed its Cross-Complaint and filed a notice of depositing interpleader funds.

Following a 5-day non-jury trial, the Court ordered judgment entered in favor of Plaintiffs and against LA Solar in the amount of $92,607.00. As to Petrosyan, judgment was entered in Petrosyan's favor on all claims asserted against him. The judgment expressly states, "Plaintiffs are the prevailing parties regarding the claims against Defendant LA Solar Group, Inc. and may recover costs of suit according to applicable law."

On July 29, 2026, the Court awarded Plaintiffs their requested costs in the amount of $12,382.11, recoverable against LA Solar, but not against Petrosyan. The Court also denied Petrosyan's request for costs, finding that Petrosyan is not a "prevailing party" entitled to recoup his costs against Plaintiffs.

Plaintiffs and Petrosyan have now filed separate motions for attorneys' fees. LA Solar has opposed Plaintiff's motion, and Plaintiffs have opposed Petrosyan's motion, to which Plaintiffs and Petrosyan have replied.

EVIDENTIARY OBJECTIONS

In light of the Court's prior finding that Petrosyan is not a prevailing party entitled to recoup his costs, the Court declines to consider the Melkonian Declaration filed in support of Petrosyan's motion, and therefore similarly declines to rule on Plaintiffs' evidentiary objections as moot.

LEGAL STANDARD

Code of Civil Procedure section 1033.5, which outlines recoverable costs to a prevailing party under Code of Civil Procedure section 1032, permits the recovery of attorneys' fees when authorized by contract, statute, or law. (Code Civ. Proc., § 1033.5, subd. (a)(10).)

Code of Civil Procedure section 1021 provides: "[e]xcept as attorney's fees are specifically provided for by statute, the measure and mode of compensation of attorneys and counselors at law is left to the agreement, express or implied, of the parties [….]"

Civil Code section 1717 provides: "[i]n any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney’s fees in addition to other costs.” (Civ. Code, § 1717, subd. (a). Further, “Section 1717 was enacted to establish mutuality of remedy where contractual provision makes recovery of attorney's fees available for only one party.” (Reynolds Metals Co. v. Alperson (1979) 25 Cal.3d 124, 128.)

The Code of Civil Procedure defines the “prevailing party” as follows:

[T]he party with a net monetary recovery, a defendant in whose favor a dismissal is entered, a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant. If any party recovers other than monetary relief and in situations other than as specified, the “prevailing party” shall be as determined by the court, and under those circumstances, the court, in its discretion, may allow costs or not and, if allowed, may apportion costs between the parties on the same or adverse sides pursuant to rules adopted under Section 1034.

(Code Civ. Proc., § 1032, subd. (a)(4).)

ANALYSIS

1. Petrosyan’s Motion for Attorney Fees

Because the Court previously held, in connection with Petrosyan’s memorandum of costs and Plaintiffs’ motion to tax, that Petrosyan is not a prevailing party entitled to recoup his costs, the Court similarly denies Petrosyan’s motion for attorneys’ fees. (See Minute Order, July 29, 2026.)

2. Plaintiffs’ Motion for Attorney Fees

Plaintiffs seek attorneys’ fees reasonably incurred against LA Solar in the amount of $94,110.00 pursuant to the parties’ contract. Specifically, page 3 of the contract provides:

If LA Solar is required to retain legal counsel in connection with any dispute or matter involving this Contract, the customer shall be responsible for and shall reimburse LA Solar for all costs, expenses and attorneys' fees incurred by LA Solar in connection therewith regardless of whether a legal proceeding is commenced. In addition, if a legal proceeding (litigation or arbitration) is commenced, LA Solar shall be entitled to recover all of its costs, including attorneys' fees and costs of suit.

(Ex. 1 to Lorman Decl. at p. 3.) Here, LA Solar does not dispute Plaintiffs' entitlement to fees generally.

Instead, LA Solar disputes the amount sought. Specifically, LA Solar points out that the $94,110 sought in attorneys' fees exceeds the $92,607 judgment Plaintiffs obtained and Plaintiffs were unsuccessful in their fraud claim against LA Solar, as well as all claims against LA Solar's principal, Petrosyan, in Petrosyan's individual capacity, including claims of fraud and alter ego liability. Yet, according to LA Solar, Plaintiffs deducted only 8.7 percent of their total fees incurred as attributed to their unsuccessful fraud and alter ego claims against Petrosyan, a figure which LA Solar contends "is implausibly small."

But, as Plaintiffs highlight, if the work was reasonably necessary to the litigation as a whole, the fees are recoverable, notwithstanding that the work may also have applied to the unsuccessful claims. (See Reynolds Metals Co. v. Alperson (1979) 25 Cal.3d 124, 129-130; Abdallah v. United Savings Bank (1996) 43 Cal.App.4th 1101, 1111.)

Further, as the Court previously explained in connection with the cross motions to tax costs, LA Solar and its principal, Petrosyan, who were both represented by the same counsel, had a unity of interests in this litigation. Thus, it does not strain credulity that the bulk of the work was reasonably necessary to achieve Plaintiffs' success against LA Solar, notwithstanding that they failed to also prevail against Petrosyan in his individual capacity.

Even further, the fraud claim is premised largely on the same underlying facts regarding LA Solar's defective solar installation and failure to cure the damage caused. Thus, even though Plaintiffs were ultimately unsuccessful in proving fraud, it is not implausible that the bulk of the work vis-à-vis the fraud claim was also reasonably necessary vis-à-vis the successful claims, i.e., negligence and breach of contract.

Notwithstanding, LA Solar directs the Court's attention to February 2024 entries, identifying research and drafting concerning alter ego doctrine, fraud, and punitive damages, as well as May 2024 entries spent researching/drafting an opposition to the demurrer vis-à-vis the fraud cause of action, opposing the motion to strike punitive damages, and attending the hearing thereon. But Plaintiffs themselves already specifically flagged and deducted these time entries from their request. (See Lorman Decl. ¶ 10 and Ex. 2.)

LA Solar does not point out any other entries that are improper or otherwise unreasonably incurred. Rather, LA Solar urges for a 30 to 40 percent reduction generally, based on Plaintiffs' overall recovery and general level of success in the litigation. But absent any indication that Plaintiffs have requested reimbursement for time that exceeds what was reasonably incurred by a factor of 30-40 percent, the Court does not find an across-the-board reduction is warranted.

CONCLUSION

For the foregoing reasons, the Court denies Petrosyan's motion for attorneys' fees on the grounds that Petrosyan is not a prevailing party entitled to recoup attorneys' fees.

Further, the Cout grants Plaintiffs' motion for attorneys' fees in the requested amount of $94,110.

The Court will enter the proposed Order lodged on August 3, 2026 in conformity with the ruling.

Plaintiffs shall provide notice of the Court's ruling/Order, and file the notice with a proof of service forthwith.

DATED: September 2, 2026 _____/s/______________________

Michael
E. Whitaker

Judge
of the Superior Court

TENTATIVE
RULING NO. 2

DEPARTMENT

207

HEARING DATE

September
2, 2026

CASE NUMBER

23SMCV04856

MOTION

Disburse
Interpleaded Funds

MOVING PARTIES

Plaintiffs
Daniel Eisenberg and Martha Bailey

OPPOSING PARTY

none

MOTION

This case arises from allegations that the installation of solar panels caused roof leaks.

Plaintiffs Daniel Eisenbeg and Martha Bailey ("Plaintiffs") originally filed suit on October 16, 2025. The operative Second Amended Complaint ("SAC") alleges five causes of action for (1) breach of express warranty; (2) negligence; (3) breach of contract; (4) fraud; and (5) breach of contract against surety against Defendants LA Solar Group, Inc., dba AP Electrical System ("LA Solar"); Ara Petrosyan ("Petrosyan"); and Merchants Bonding Company (Mutual) ("Merchants"). The first four causes of action are brought against all Defendants except Merchants, and the fifth cause of action is brought only against Merchants.

On June 6, 2024, Merchants filed a verified cross-complaint against Plaintiffs, Defendants, and John Fontanini ("Fontanini"), for declaratory relief and interpleader for the $25,000 contractor's bond for LA Solar. On January 7, 2025, Merchants requested dismissal of John Fontanini without prejudice, which was entered on January 8, 2025.

On May 28, 2025 the Court granted Merchants' unopposed motion to discharge it as a stakeholder, and on June 5, 2025, Merchants dismissed its Cross-Complaint and filed a notice of depositing interpleader funds.

Following a 5-day non-jury trial, the Court ordered judgment entered in favor of Plaintiffs and against LA Solar in the amount of $92,607.00. As to Petrosyan, judgment was entered in Petrosyan's favor on all claims asserted against him. The judgment expressly states, "Plaintiffs are the prevailing parties regarding the claims against Defendant LA Solar Group, Inc. and may recover costs of suit according to applicable law."

On July 29, 2026, the Court awarded Plaintiffs their requested costs in the amount of $12,382.11, recoverable against LA Solar, but not against Petrosyan. The Court also denied Petrosyan's request for costs, finding that Petrosyan is not a "prevailing party" entitled to recoup his costs against Plaintiffs.

Concurrently herewith, the Court grants Plaintiffs motion for attorney's fees in the amount of $94,110, recoverable against LA Solar.

Plaintiffs

now move for an order releasing the interpleaded funds to Plaintiffs, as a partial satisfaction of the judgment entered against LA Solar. The motion is unopposed.

ANALYSIS

Code of Civil Procedure section 386.5 provides:

Where the only relief sought against one of the defendants is the payment of a stated amount of money alleged to be wrongfully withheld, such defendant may, upon affidavit that he is a mere stakeholder with no interest in the amount or any portion thereof and that conflicting demands have been made upon him for the amount by parties to the action, upon notice to such parties, apply to the court for an order discharging him from liability and dismissing him from the action on his depositing with the clerk of the court the amount in dispute and the court may, in its discretion, make such order.

Code of Civil Procedure section 386.6 provides:

A party to an action who follows the procedure set forth in Section 386 or 386.5 may insert in his motion, petition, complaint, or cross complaint a request for allowance of his costs and reasonable attorney fees incurred in such action. In ordering the discharge of such party, the court may, in its discretion, award such party his costs and reasonable attorney fees from the amount in dispute which has been deposited with the court. At the time of final judgment in the action the court may make such further provision for assumption of such costs and attorney fees by one or more of the adverse claimants as may appear proper.

Business and Professions Code section 7071.5 provides that a contractor’s bond shall be for the benefit of a homeowner contracting for home improvement upon the homeowner’s personal family residence damaged as a result of a violation by the licensee. (Bus. & Prof. Code, § 7071.5.)

Here, Merchants deposited LA Solar’s bond funds with the Court, and the only adverse

claimant, Fontanini, has since been dismissed.
Plaintiffs have now prevailed in their action against LA Solar in an amount that exceeds the $20,000 deposited.

CONCLUSION AND ORDER

To the Court’s satisfaction, Plaintiffs have demonstrated entitlement to an order releasing the deposited interpleaded funds to them, as partial satisfaction of the judgment entered against LA Solar. Therefore, the Court grants Plaintiffs’ unopposed motion for an order to release the interpleaded funds.

Further, the Court will enter the proposed Order lodged on August 4, 2026 in conformity with the ruling.

Plaintiffs shall provide notice of the Court’s ruling/Order and file the notice with a proof of service forthwith.

DATED: September 2, 2026 _______/s/____________________

Michael E. Whitaker

Judge of the Superior Court